

Course Title: Introduction to Business Data Analysis

Course Code: 115.109

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Client Brief:

Write a report on the arguments for a retailer enabling showrooming behaviour by in-store customers, and against this practice (ie, inhibiting showrooming, perhaps encouraging webrooming). For this report you may use supplied datasets on showrooming and webrooming attitudes and behaviour, or observational or attitudinal data for a store that is available to you.

You should also use a variety of academic references (eg 4 or more, from academic journals) to provide background, and potentially evidence, for your arguments.

Using this data and literature:

1. **assess and describe how much of an issue showrooming / webrooming is at present, for both customers and retailers;**
2. **make brief recommendations for how a specific retailer (of your choice) could and should influence consumers for that retailer's benefit;**
3. **briefly consider the possible impacts of these recommendations on customers.**

Executive Summary

Showrooming and webrooming are becoming standard consumer behaviour, especially amongst younger consumers. This report has highlighted that price and convenience play a significant part in the decision of consumers to engage in these behaviours. However, the results also indicate that customers value the convenience of visiting a physical store and having access to touch and feel a product to reduce their perceived risk.

Based on these results there are key opportunities for Noel Leeming to capitalise on this consumer behaviour:

- Leverage Tech Solutions offering in store, approaching customers as a conversation opener
- Establish in-store exclusive product assortment – Advertise through website
- Establish online exclusive products
- Consider free delivery online – base on basket size or spend criteria
- Leverage Noel Leeming delivery fleet across TWG brands to reduce cost impact of free delivery
- Introduce a Noel Leeming app that specifically appeals to showroomers and webroomers through gamification
- Increase investment in house brand products to contain showrooming and webrooming within Noel Leeming channels

Key Risks:

- In-store exclusive product assortments could increase inventory investment and create stock puddling within the network
- Discounting products in-store and online will increase competition and reduce profitability

The only certainty is that consumer behaviour has changed and continues to change. The key positive within this report is that consumers still value shopping in a physical store.

Background

Technology has changed shoppers' behaviours creating challenges for retailers, as customers now engage in showrooming and webrooming behaviour to identify the best available deals.

Showrooming is an issue for retail organisations invested in bricks and mortar stores. The business sinks expenditure into rent, labour, lighting, heating and inventory within these stores, and shoppers actively consume this without making any exchange (Bachrach, Ogilvie, Rapp, & Calamusa, 2016). The showroomer visits the bricks and mortar store, examines product, often trying it on and engaging staff to assist, occasionally to the detriment of other waiting customers, and then using their mobile device they check online for the same or very similar product at a lower price and proceed to make a purchase (Bachrach et al., 2016). In this instance the physical store has merely served as a showroom for an online retailer (Jing, 2018), which often is a competitor.

Webrooming is the opposite to showrooming where consumers research the product they are interested in online and then visit a physical retail store to purchase the product (Arora & Sahney, 2017). Much of this behaviour is hidden from retailers, but could be impacting sales through their various channels, with customers increasingly researching online prior to purchasing in store (Johnston, 2017)

Data Collection - Demographic Profile

Below is the respondent and gender information relating to two surveys conducted into webrooming and showrooming behaviour. Data Set A (115.109 Massey University, 2018a) was collected in New Zealand where respondents were surveyed on showrooming and webrooming behaviour. Data Set B (115.109 Massey University, 2018b) was collected in Australia where respondents were surveyed on webrooming behaviours. The mix between male and female respondents was approx. 2:1 female to male, with the largest age group being 18 to 24 years old (Figure 1).

Income levels between respondents who declared their earnings demonstrated Australia on average had higher levels of income, with 46% of New Zealand respondents earning greater than \$50k NZD per annum and 48% of Australians earning greater than \$60k AUD per annum.

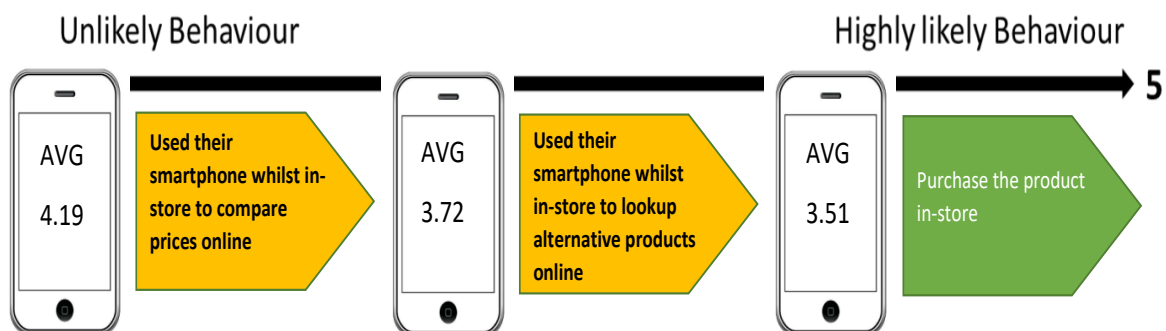
Figure 1: demographics



Showrooming Behaviours

Analysis was conducted as to the likelihood of respondents intentionally and unintentionally engaging in showrooming behaviour (115.109 Massey University, 2018a). Respondents scored their behaviour, and there were three key findings in relation to showrooming (Figure 2).

Figure 2: Showrooming Behaviours



These findings present a challenge for bricks and mortar stores in New Zealand, as consumers are engaging store personnel and resources to facilitate product selection, thereby obtaining benefit, but failing to make the traditional exchange of value with the retailer (Daunt & Harris, 2017). The mean scores of 4.19 for using a smartphone to engage in price comparison and 3.72 to compare products against alternatives demonstrates that consumers see this as acceptable behaviour that is normalising.

A key driver of showrooming behaviour is the level of risk uncertainty that consumers are prepared to accept regarding products under consideration (Zhang, Ge, Gou, & Chen, 2018), many wishing to touch and feel the product prior to purchasing. This does present an opportunity for stores to convert showrooming behaviour to sales, and a mean of 3.51 indicates consumer receptiveness to finalising their purchase in-store.

Showrooming has been demonstrated to increase the propensity for bricks and mortar stores to discount goods and seek to entice people through promotions, this increases competition both in-store and online, and reduces profit potential for retailers (Mehra, Kumar, & Raju, 2018).

Webrooming Behaviours

Survey findings into intentional and unintentional webrooming behaviour (115.109 Massey University, 2018a) demonstrates similar behaviour to the results discovered relating to showrooming. Shoppers switch website predominantly to price compare or search for alternative products. The mean score of 3.79 for shoppers leaving a retailers website and then visiting the retailers physical store to purchase the product, supports the findings of Zhang et al. (2018) in regards to customers wishing to reduce perceived risk and examine a product prior to purchase (Figure 3).

Figure 3: Webrooming Behaviours



Ecommerce presents opportunities for retailers as often site traffic lacks visibility, has no direct interaction with a salesperson and product can be quickly compared across multiple competitor sites. Research by Arora and Sahney (2017) cited sales through webrooming up to 500% greater than standard online sales, and indicated 44% of all products purchased in-store is influenced by research online prior to exchange taking place.

The research from 115.109 Massey University (2018a) shows a similar trend to showrooming behaviours. A mean average of 4.19 using websites to compare prices across retailers compares directly to the showrooming stats. The other behaviours also mirror showrooming with consumers shopping around for alternatives, or encouragingly for retailers, checking prices and then visiting the organisations physical store to make the purchase.

Retailers need a multichannel/omnichannel offering to remain competitive, but whilst a traditional bricks and mortar retailer may increase demand through an online channel, it leads

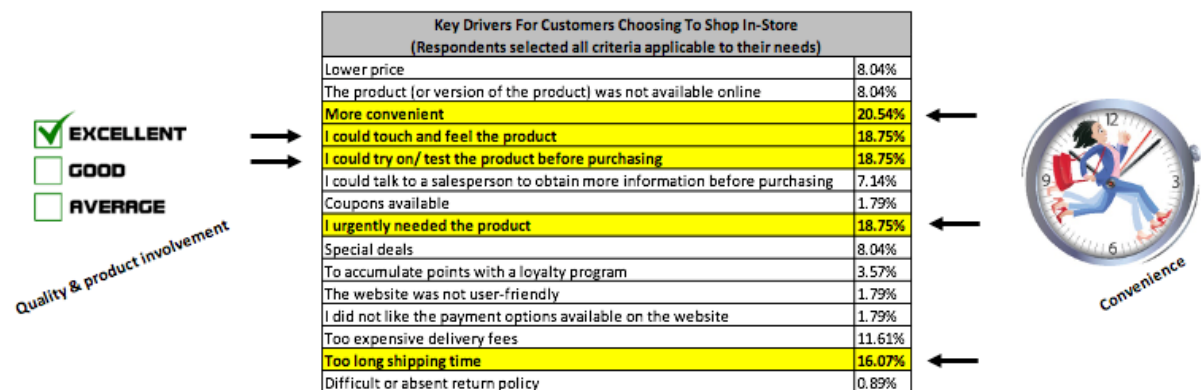
to increased competition and the erosion of profits (Arora & Sahney, 2017; Jing, 2018), ultimately benefiting the consumer in the short term, whilst damaging the retailer long term.

Recommendations for Noel Leeming

Noel Leeming has an opportunity to capitalise on the showrooming and webrooming behaviour outlined in this report by adopting a strategy that seeks to capitalise on this behaviour and encourage it.

Figure 4 (115.109 Massey University, 2018a) demonstrates customers criteria for opting to purchase in-store rather than online and provides insight for Noel Leeming to focus on within their strategic customer approach.

Figure 4



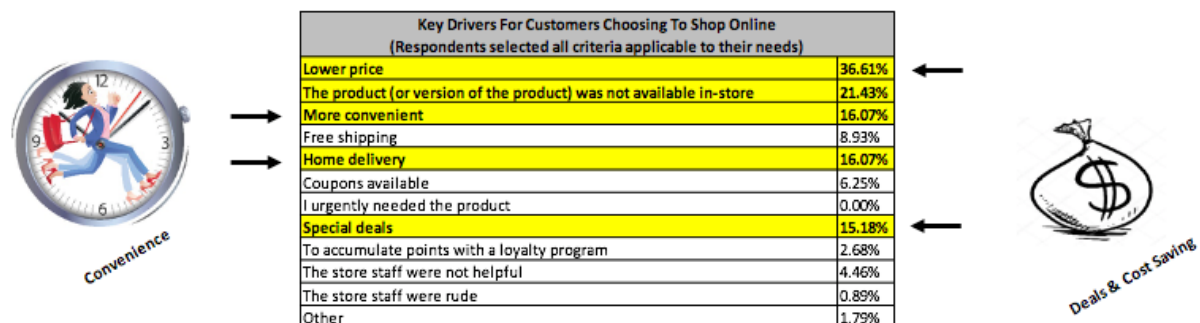
Convenience is a big driver of customers desire to shop in-store, and Noel Leeming has an opportunity to leverage their value offering and appeal to the customer need for convenience. Tech solutions is a competitive advantage providing a whole product offering that increases convenience for customers and has growth of 17% YOY (The Warehouse Group, 2018). "In-store professionals, properly armed with technology, training, information, and product knowledge can offer customers more value that doesn't necessarily depend on price as a core criterion" (Bachrach et al., 2016, p. 145). This should be used as an enabler to open discussion with showroomers, and demonstrate value, increasing sales conversion.

Establish an exclusive in-store only product assortment, establishing exclusivity with key product brands and service providers (Mehra et al., 2018). This appeals to customers desire to touch and feel product, which is a key driver of consumers visiting physical stores, and these products can be advertised via the Noel Leeming Website as in-store only offers thereby increasing visibility. Exclusive in-store only offers also serve to restrict showrooming behaviour, as customers must come into a Noel Leeming store to purchase the product, allowing the team members further opportunity to engage in active selling and increasing convenience via the Tech Solutions offering. One risk of exclusive in-store only products is

that all stores will need to have some depth of stock, and this could create puddling within the Noel Leeming network, reducing sales opportunities due to availability issues in the faster selling branches.

Figure 5 (115.109 Massey University, 2018a) demonstrates customers criteria for opting to purchase online rather than in-store and provides insight for Noel Leeming to focus on within their strategic customer approach.

Figure 5



Key deals and price sensitivity increase consumer desire to seek online deals and encourages webrooming. Noel Leeming should increase online offering of exclusive branded products and special online only products. This encourages webrooming but leaves no alternative solution for shoppers. It appeals to consumers looking for deals, supports online sales growth, and provides a competitive advantage, whilst avoiding discounting that creates increased competition and damages long term profitability.

Customers also value convenience when shopping online, and home delivery is a criterion that consumers have indicated they value. No large retailer in New Zealand is currently offering free delivery, and Noel Leeming should consider this as a market leading move to drive web traffic and interest specifically amongst webrooming consumers. Free delivery should be offered against a specific basket size or spend to increase unit volumes, which will offset the margin impact of free delivery. Noel Leeming has its own fleet of delivery vans operating in Auckland, Hamilton, Tauranga, Wellington, Christchurch and Dunedin, and could leverage the delivery of The Warehouse Store products to offset the impact of cost increases through free delivery.

Noel Leeming has an opportunity to invest in a strategic digital future through the development of a Noel Leeming app that customers can use in-store to quickly check prices at Noel Leeming and against a range of similar competitors. This should be a direct enabler of showrooming and webrooming and should position itself in this context. The use of gamification within the app design for consumers to collect points when shopping in store, purchasing specific products, or finding Easter eggs embedded within the Noel Leeming webpages will drive usage as gamification has been demonstrated to drive behavioural outcomes (Hsu & Chen, 2018). Points could then be used to purchase discount vouchers for

use within Noel Leeming stores and online, thereby discouraging consumers from visiting competitor stores or websites.

Noel Leeming must recognise that webrooming & showrooming is the new norm, and look to a future where online sales will continue to grow (Reingold & Wahba, 2014), and store sales will likely decline. Increasing investment in house brand products and discounts with these products could be a strategic way to contain showrooming and webrooming behaviour within Noel Leeming channels, however product quality will need to reflect branded product.

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